

Nordpark Fachmarkt

Kassel / Hessen | Fachmarktzentrum (Retail Park)

IC RECOMMENDATION

INVESTIGATE

Asking Price	Equity	Loan Amount	GIY	WALT	Vacancy
EUR 7,300,000	EUR 2,550,000	EUR 4,750,000	7.8%	4.5 yrs	11.1%

IC RECOMMENDATION RATIONALE

Several caution flags. Further due diligence required.

- (+) Attractive yield of 7.8% vs. market benchmark
- (+) Robust DSCR of 1.63x comfortable debt headroom
- (!) CAUTION LTV <= 65%: 65.1% (benchmark <= 65%)
- (!) CAUTION Vacancy <= 10%: 11.1% (benchmark <= 10%)
- (!) CAUTION 3-Year Expiry Risk <= 30%: 33.8% (benchmark <= 30%)

1. TRANSACTION SUMMARY

Property Name	Nordpark Fachmarkt
Location	Kassel / Hessen
Asset Type	Fachmarktzentrum (Retail Park)
Gross Leasable Area	5,400 m²
Asking Price	EUR 7,300,000
Equity Contributed	EUR 2,550,000
Loan Amount	EUR 4,750,000
Loan-to-Value (LTV)	65.1%
Total Acquisition Cost	EUR 7,920,500
GrEst Rate	6.0%
Notar / Broker Fees	2.5%
Interest Rate	4.10%
Amortisation Rate	2.00%
Active Leases	6
Vacant Units	1

2. KEY UNDERWRITING METRICS

LTV 65.1% Target: <= 65%	DSCR 1.63x Target: >= 1.30x	ICR 2.43x Target: >= 1.75x	GIY 7.8% Target: >= 5.5%
NIY 6.5% Target: NOI / Price	WAULT 4.5 yrs Target: >= 4 yrs	Vacancy Rate 11.1% Target: <= 10%	Anchor Conc. 53.4% Target: <= 55%
3yr Expiry Risk 33.8% Target: <= 30%	Debt Yield 10.0% Target: >= 7.5%	IRR (10yr est.) 10.1% Target: > 7% target	AfA (non-cash) EUR 109,500 Target: \$7 ESIG 2%/yr

3. RENT ROLL SCHEDULE

Unit	Tenant	Sector	Area m²	EUR/m²/mo	Annual Rent	Expiry	Rem.	A
U-01	Rewe Markt GmbH	Food & Grocery	2,600	9.80	EUR 305,760 (53%)	Sep 2031	5.5yr	(*)
U-02	Woolworth GmbH	General Merchandise	600	8.50	EUR 61,200 (11%)	Sep 2028	2.5yr	
U-03	Takko Fashion	Value Fashion	380	8.00	EUR 36,480 (6%)	Mar 2028	2.0yr	
U-04	dm-drogerie markt	Health & Beauty	380	16.00	EUR 72,960 (13%)	Sep 2032	6.5yr	
U-05	Netto Marken-Discount	Discount Food	500	8.50	EUR 51,000 (9%)	Sep 2027	1.5yr	
U-06	Small Unit (Dienstleistung)	Services	340	11.00	EUR 44,880 (8%)	Sep 2028	2.5yr	
U-07	VACANT	--	600	--	--	--	--	
6 tenants		TOTAL / WTD	4,800	9.94	EUR 572,280	WAULT 4.5yr	(*) = Anchor	

Vacant area: 600 m² | Vacancy: 11.1% | Total GLA: 5,400 m²

4. NOI BRIDGE / COST BREAKDOWN

NOI source: Itemised Cost Sheet

Gross Passing Rent	EUR	572,280
Property Management Fee	-EUR	8,584
Asset Management Fee	-EUR	2,861
Building Insurance	-EUR	13,500
CapEx Reserve	-EUR	29,700
Grundsteuer (Property Tax)	-EUR	1,200
Void Service Charge	-EUR	10,800
Void Insurance	-EUR	900
Letting / Leasing Commissions	-EUR	28,614
Other Non-Recoverables	-EUR	2,500
NET OPERATING INCOME (NOI)	EUR	473,620 (82.8% margin)
Annual Debt Service (interest + amortisation)	-EUR	289,750
Levered Cash Flow (pre-tax)	EUR	183,870

AfA (non-cash, §7 Abs.4 EStG): EUR 109,500/yr on building value EUR 5,475,000 (75% of price, 2% linear depreciation)

5. RISK ASSESSMENT & MITIGANTS

QA Result: 0 critical (RED) 3 caution (YELLOW) 8 passed

CAUTION FLAGS -- FURTHER DILIGENCE REQUIRED

LTV <= 65%		Actual: 65.1% Bench: <= 65%
<i>Risk:</i>	Loan-to-value exceeds the 65% lender threshold, reducing the equity buffer against an asset value decline and increasing refinancing risk.	
<i>Mitigant:</i>	Increase equity contribution to bring LTV at or below 65%. Alternatively, negotiate a 1-2% price reduction or explore a share deal structure to reduce acquisition costs and improve effective LTV.	
Vacancy <= 10%		Actual: 11.1% Bench: <= 10%
<i>Risk:</i>	Above-average vacancy creates ongoing void cost exposure and increases re-letting execution risk. Extended voids could impair debt service coverage.	
<i>Mitigant:</i>	Build a void cost reserve into debt sizing at drawdown. Obtain a letting agent's opinion on achievable rent and realistic re-letting timeline. Stress-test NOI assuming a 24-month void on the largest vacant unit.	
3-Year Expiry Risk <= 30%		Actual: 33.8% Bench: <= 30%
<i>Risk:</i>	More than 30% of rental income expires within 3 years, creating material re-letting risk within the loan term. Failure to renew could breach covenants.	
<i>Mitigant:</i>	Require renewal heads-of-terms from key expiring tenants before closing. Negotiate a cash retention at drawdown equivalent to 12 months rent of all leases expiring within 24 months, released on renewal confirmation.	

METRICS PASSING IC BENCHMARKS

DSCR >= 1.30x	1.63x	Benchmark: >= 1.30x
ICR >= 1.75x	2.43x	Benchmark: >= 1.75x
WAULT >= 4 years	4.5 yrs	Benchmark: >= 4 yrs
Anchor Concentration <= 55%	53.4%	Benchmark: <= 55%
GIY >= 5.5% (retail DE 2026)	7.84%	Benchmark: >= 5.5%
NOI > 0	EUR 473,620	Benchmark: > 0
Equity > 0	EUR 2,550,000	Benchmark: > 0
Debt Yield >= 7.5% (NOI / Loan)	9.97%	Benchmark: >= 7.5%